

Profit Niti – AI Report (2025-04-01 / 2025-12-31)

Last Month KPI Data (December 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 72 - STEADY 6% Last month 68 - STEADY	 Impact Of Decisions -575,767 -110% Last month 5,934,308

1. Big Picture — How the Business Looks Right Now

The business shows significant growth in its financial position, with Total Equity and Liabilities increasing from ₹36.08 lakh in April to ₹64.76 lakh in November. Revenue has been volatile, with a high of ₹20.24 lakh in November and a low of ₹3.67 lakh in April. The company has maintained a strong current ratio, consistently above 5, indicating good short-term financial health.

GREEN FLAG BOX — What's Working Well

- Strong profitability in key months: Net Profit reached ₹14.64 lakh in November and ₹10.71 lakh in May.
- Excellent liquidity position: The Current Ratio remained robust, peaking at 9.03 in June.
- Healthy equity growth: Total Equity increased from ₹12.44 lakh in April to ₹46.69 lakh in November.

RED FLAG BOX — What Needs Attention

- High revenue volatility: Revenue Growth % fluctuated wildly, from 299.13% in May to -74.81% in June.
- Negative operating cash flow: Cash flows from Operating Activity was negative in several months, including -₹24.07 lakh in April.
- Significant monthly losses: The business recorded a Net Profit of -₹6.89 lakh in August and -₹1.35 lakh in April.

Strategic Advice:

Prioritise stabilising monthly revenue streams and converting profitability into consistent positive cash flow from operations. The strong balance sheet provides a foundation to manage the high working capital requirements indicated by the Accounts Receivable Days.

2. Profit Power — The Earning Engine

The company's profit is driven entirely by its service sales, with a consistent 100% gross margin. Operating profit shows significant volatility, from a loss of ₹-6.89 lakh in August to a high of ₹14.64 lakh in November. This is primarily due to fluctuating overheads, which spiked to 271.05% of revenue in August largely from employee expenses of ₹10.02 lakh.

Revenue has been inconsistent, with peaks in May (₹14.65 lakh), September (₹16.98 lakh), and November (₹20.24 lakh). The high overhead percentage in loss-making months, like August, indicates a misalignment

between fixed costs and revenue generation. Net profit percentage follows the same pattern as operating profit, reaching 72.31% in November.

Strategic Advice:

Stabilise monthly revenue to better align with fixed employee costs and smooth out profit volatility. Implement stricter budgeting for overheads, particularly employee benefits, to prevent them from consuming over 100% of revenue in lean months.

3. Cash Flow Quality — Profit vs Real Cash

The company's profit after tax for November 2025 was ₹14.64 lakh. However, the net cash flow from operating activities for the same month was -₹1.86 lakh. This indicates a significant gap between reported profits and actual cash generation.

A primary source of cash blockage is trade receivables. In November 2025, trade receivables consumed ₹1.63 lakh in cash. The accounts receivable days were 43.56 days, showing money is tied up in customer payments.

The cash flow from financing activity was ₹5.25 lakh in November 2025, primarily from equity of ₹14.64 lakh, offset by borrowings repayment of -₹2.07 lakh and other outflows of -₹7.32 lakh. This reliance on financing highlights that internal cash generation from operations is insufficient.

Strategic Advice:

Prioritise reducing the accounts receivable days to improve cash conversion from sales. Strengthen collection processes to bridge the gap between high profitability and negative operating cash flow.

4. Cash Management — Daily Cash Rhythm

Your working capital cycle is defined by Accounts Receivable Days, as there is no inventory. In April, it took 105.49 days to collect payments from customers. This improved to 61.49 days in May but extended significantly to 159.37 days in June.

The cycle remained high in July at 148.17 days and August at 157.75 days. It improved sharply to 47.66 days in September, then increased to 120.07 days in October. The most efficient collection was in November at 43.56 days.

Your working capital requirement per ₹100 of sales was ₹655.82 in April. It was ₹296.88 in May, ₹876.78 in June, and ₹800.47 in July. The requirement was ₹803.38 in August, then dropped to ₹227.17 in September.

In October, the requirement was ₹570.05 per ₹100 of sales. It reached its most efficient level in November at ₹204.36. The marginal cash flow, indicating the cash gap, was negative throughout, ranging from - ₹104.36 in November to - ₹776.78 in June.

Strategic Advice:

The collection period is highly volatile, creating significant cash flow uncertainty. Standardising invoicing and follow-up procedures is critical to stabilise your cash rhythm and reduce the working capital burden.

5. Growth Investments — Where Money Is Going

Your primary capital expenditure was in Fixed Assets, which stood at ₹9.10 lakh in April and increased to ₹9.96 lakh from May onwards. Other Capital expenditure showed significant outflows, with a notable outflow of ₹-6.44 lakh in May and ₹-5.85 lakh in September, before turning positive at ₹2.38 lakh in November.

The Return on Capital % has been highly volatile, starting at -58.04% in April, peaking at 271.88% in September, and reaching 267.70% in November. Similarly, Return on Total Assets was -30.04% in April, 177.13% in September, and 180.78% in November. Return on Equity % also shows wide swings, from -130.72% in April to 459.61% in September and 376.14% in November.

Net Operating Assets have grown from ₹18.67 lakh in April to ₹43.74 lakh in November, indicating an increase in the capital base used for operations. The Asset Turnover ratio fluctuated, with a high of 4.15 in September and 3.70 in November, suggesting more efficient use of assets in those months.

Strategic Advice:

The business is generating strong returns on capital and equity in high-performing months like September and November. However, the extreme volatility in these metrics, including negative returns in April and August, indicates inconsistent operational performance. Focus on stabilizing your service delivery and client billing cycles to smooth out monthly profitability. The recent positive Other Capital in November could signal a shift; consider if this represents a strategic divestment or one-off gain and plan future capital allocation accordingly.

6. Funding Story — How Growth Is Being Financed

The company's funding structure has evolved over the period. Total Equity stood at ₹12.44 lakh in April and increased to ₹46.69 lakh by November. Total Non-Current Liabilities, which include borrowings, were ₹18.29 lakh in April and reduced to ₹11.06 lakh in November.

Debt levels have been managed down. Secured Long-term Borrowings were ₹8.23 lakh in April and became a negative balance of -₹4.18 lakh by November. Unsecured Long-term Borrowings remained stable at ₹10.06 lakh from April to June, then increased to ₹15.24 lakh from July onwards. The Debt to Equity ratio improved from 1.47 in April to 0.24 in November.

Cash flow from financing activity was a significant source of funds initially at ₹45.22 lakh in April, with subsequent months showing variability: ₹12.38 lakh in May, -₹2.72 lakh in June, -₹1.08 lakh in July, -₹5.30 lakh in August, ₹11.49 lakh in September, ₹9887 in October, and ₹5.25 lakh in November. Net Debt was ₹6.24 lakh in April and turned negative to -₹2.95 lakh by November.

Strategic Advice:

The business has successfully shifted its capital structure towards equity, significantly reducing its Debt to Equity ratio. The negative Net Debt position in November indicates a strong liquidity buffer. Continue this prudent approach by using internal accruals for growth and maintaining a low reliance on external debt to strengthen the balance sheet further.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities grew from ₹36.08 lakh in April to ₹64.76 lakh in November. The equity base increased from ₹12.44 lakh to ₹46.69 lakh, largely driven by retained profits.

Total debt (non-current liabilities) reduced from ₹18.29 lakh to ₹11.06 lakh over the period. The current ratio remained strong, ranging from 5.04 in April to 7.81 in November, indicating good short-term liquidity.

Accounts receivable stood at ₹28.99 lakh in November, while cash balances were ₹14.01 lakh. The debt to equity ratio improved significantly, from 1.47 in April to 0.24 in November.

Strategic Advice:

Maintain the strong focus on reducing debt and building equity. Consider deploying excess cash to reduce accounts receivable days, which peaked at 159.37 days in June, to improve working capital.

efficiency.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If Accounts Receivable Days were reduced from the peak of 159.37 days in June to the best level of 43.56 days (as in November), the Operating Profit for months like August (-6.89 lakh) could improve significantly by releasing tied-up cash from debtors.
- **Scenario B - Cash Focus:** If the negative Cash Flows from Operating Activity, such as -24.07 lakh in April and -19.42 lakh in May, were addressed by improving trade receivables and payables management, the Net Cash Flow could turn positive more consistently, reducing reliance on financing activities.
- **Scenario C - Balanced:** A combined approach of reducing Overheads % from highs like 271.05% in August to levels near 27.69% (as in November) while maintaining a strong Current Ratio (above 7) could stabilize both profitability and liquidity, leading to more sustainable growth in Total Equity and Liabilities.

9. Operational Insight Engine — Ground-Level Trends

Sales performance has been variable, with revenue reaching a high of ₹20.24 lakh in November and a low of ₹3.67 lakh in April. The revenue growth percentage shows significant month-on-month fluctuations, from a high of 321.34 in September to a low of -74.81 in June.

Accounts receivable days, a key metric for cash collection, have varied widely from 43.56 days in November to 159.37 days in June. The working capital requirement, reflected in working capital days, follows a similar pattern, peaking at 157.75 days in August.

Employee benefit expenses were highest in August at ₹10.02 lakh and lowest in June at ₹2.40 lakh. Other current assets saw a notable increase to ₹11.80 lakh in November from a consistent ₹2.20 lakh in the preceding months.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve cash collection from receivables, which were ₹28.99 lakh in November. Monitor cash flow from operations, which was -₹1.86 lakh in November.	Reduce Accounts Receivable Days from 43.56 days (Nov) and maintain positive net cash flow.	Strengthen liquidity and reduce reliance on external financing for working capital.
31-60	Profit	Control overhead expenses, which were ₹5.60 lakh in November. Focus on maintaining high net profit margins, which were 72.31% in November.	Sustain Operating Profit % above 70% and manage Overheads % below 30%.	Enhance bottom-line profitability and build reserves, which were ₹31.06 lakh in November.
61-90	Growth	Leverage strong Return on Equity of 376.14% (Nov) and high asset turnover to support scalable growth. Plan for efficient capital allocation.	Utilise high Return on Capital of 267.70% (Nov) to fund growth initiatives without increasing debt burden.	Achieve sustainable revenue growth while maintaining strong financial returns and a healthy debt-to-equity ratio of 0.24 (Nov).